

VEHICLE LOAN UNDERWRITING POLICY

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Purpose: Research Prototype Evaluation

IMPORTANT NOTICE:

This document is synthetic demonstration content created exclusively for academic system testing. It is NOT an actual bank vehicle-loan policy and must not be used for real lending decisions.

1. Purpose

This demonstration policy defines example considerations for vehicle loan applications.

2. Vehicle Loan Eligibility

A vehicle loan applicant should demonstrate:

- A stable income source.
- Reasonable employment or business stability.
- Sufficient repayment capacity.
- A clearly identified vehicle purchase purpose.
- Required supporting documentation.

3. Requested Loan Amount

The requested loan amount should be evaluated against the applicant's income and repayment capacity.

A relatively high requested amount compared with the applicant's demonstrated income should trigger additional underwriting review.

4. Existing Debt

Existing loan commitments should be considered before determining repayment capacity.

Applicants with substantial existing monthly repayments may require additional assessment.

5. Vehicle Security

Where vehicle financing requires security over the financed vehicle, appropriate collateral documentation should be verified.

If required security is unavailable, the application should be referred for manual review.

6. Guarantor

A guarantor may be considered where additional repayment assurance is required under the applicable lending arrangement.

The availability or absence of a guarantor should therefore be considered together with income, existing debt, and collateral.

7. Documentation

Vehicle loan applications should contain appropriate supporting documents.

Applications marked as having missing documents should not be treated as fully verified.

8. Policy Conflict

A high statistical approval probability does not override a vehicle-loan policy requirement.

If the statistical model indicates approval while required security or documentation is unavailable, the application should be referred for manual review.

9. Decision Support

The AI system should compare:

- XGBoost prediction.
- SHAP/LIME factors.
- Vehicle loan characteristics.
- Retrieved policy evidence.

The resulting recommendation should remain advisory.